

Quarterly Report for Deer Velvet in Korea – Deer Industry New Zealand

March 2014

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Innovative Business Support & Promotion

1 Table of Contents

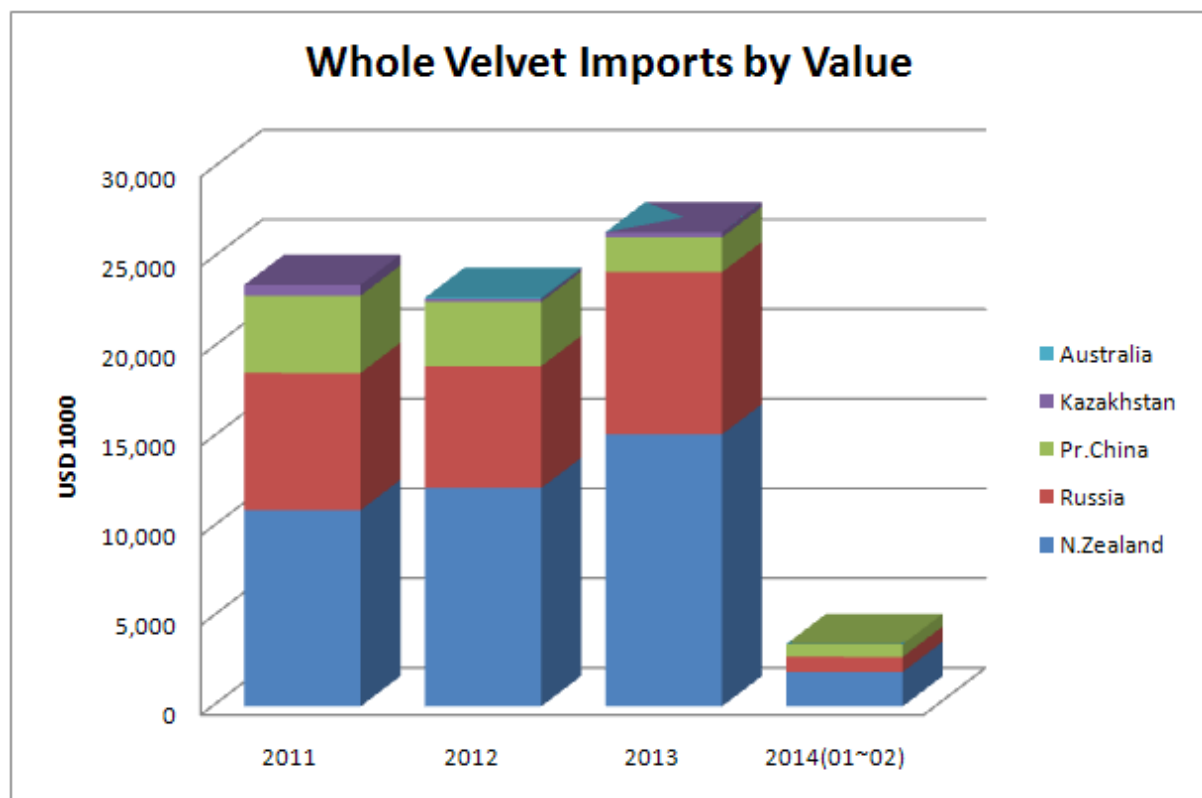
2	Imports	3
2.1	Velvet Imports	3
2.1.1	Young Antlers, Whole HS No. 0507.90.1110	3
2.1.2	Young Antlers, Other HS No. 0507.90.1190.....	4
2.1.3	Hard Antler Imports HS No. 0507.90.1200	4
2.2	Quarantine Statistics of Deer Velvet from Major Exporters.....	5
2.2.1	Year to date.....	5
2.2.2	Full Year.....	5
2.2.3	Quarantine Fail– Year to Date.....	6
3	Retail Prices of Deer Velvet to Individual Consumers.....	6
3.1	Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping)	6
3.2	Fresh Deer Velvet (Local, online shopping)	7
4	Local Deer Industry	8
4.1	Korea Deer Breeders Association’s first board meeting of 2014	8
4.2	Deer velvet society established	10
4.3	Deer Industry SOS: Crises in the deer Industry and possible directions for the future.....	8
4.4	Price of deer velvet continues to rise on the back of Chinese consumption	12
4.5	Exposure of false statements regarding shelf life of deer velvet product.....	8
4.6	The Face Shop releases new product ‘ <i>Commanding Beauty</i> ’	12
4.7	Nonghyup Food Safety Research Institute promises to develop more health food products utilising deer velvet.....	122
4.8	Korea Deer Council purchases 20,943 units of deer velvet.....	122
4.9	Deer industry must work together to improve deer farming systems.....	13
4.10	Concerns regarding health food products using deer velvet	122
4.11	Taking on the challenge of producing clone deer	123

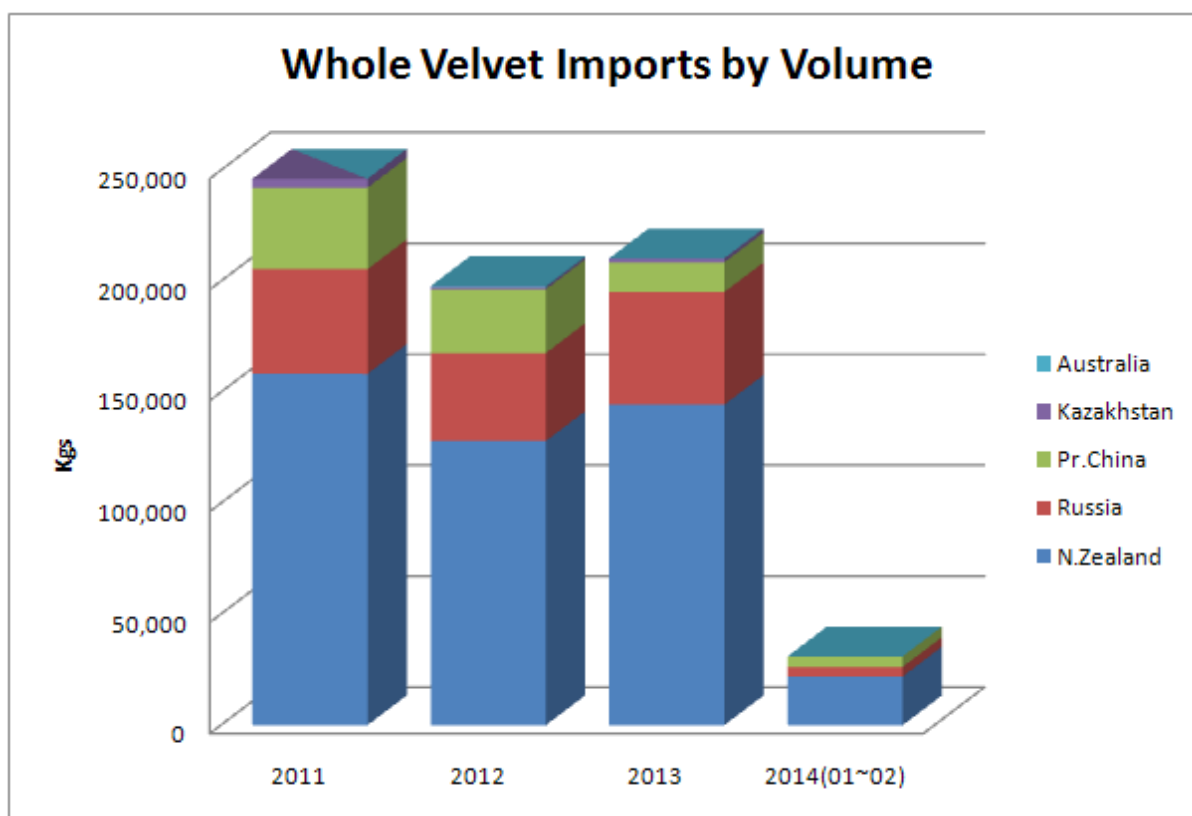
2 Imports

2.1 Velvet Imports

2.1.1 Young Antlers, Whole HS No. 0507.90.1110

Rank	Country	2011			2012			2013			2014(01~02)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	23,497	246,188		22,779	197,907		26,441	210,317		3,469	30,469	
1	N.Zealand	10,946	158,276	69	12,176	128,048	95	15,167	144,391	105	1,921	21,945	88
2	Russia	7,647	47,142	162	6,801	39,615	172	9,052	50,712	178	842	4,285	196
3	Pr.China	4,314	36,742	117	3,584	28,731	125	1,936	13,427	144	707	4,754	149
4	Kazakhstan	591	4,028	147	165	1,063	155	286	1,786	160	-	-	-
5	Australia	-	-	-	54	450	120	-	1	-	-	-	-
	NZ Share (%)	46.58	64.29		53.45	64.70		57.36	68.65		55.38	72.02	





2.1.2 Young Antlers, Other HS No. 0507.90.1190

Rank	Country	2011			2012			2013			2014(01~02)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	88	80		81	77		80	59		11	8	
1	N.Zealand	47	36	1,306	52	49	1,061	55	27	2,037	6	-	-
2	Australia	40	42	952	29	28	1,036	25	32	781	5	8	625
3	U.S.A	0	1	0	0	-	-	-	-	-	0	-	-
4	Pr.China	0	1	0	-	-	-	-	-	-	-	-	-
	NZ Share (%)	53.41	45.00		64.20	63.64		68.75	45.76		54.55	-	

2.1.3 Hard Antler Imports HS No. 0507.90.1200

Rank	Country	2011			2012			2013			2014(01~2)		
		Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg	Value	Weight	\$/kg
	Total Sum	2,511	224,058		2,282	189,566		1,514	123,833		240	19,847	
1	Russia	2,508	224,035	11	2,229	185,298	12	1,462	119,825	12	240	19,847	12
2	N.Zealand	0	3	0	51	4,251	12	49	4,000	12	-	-	0
3	Australia	2	20	100	2	17	118	3	8	375	0	-	0
4	Mongolia	-	-	-	-	-	-	-	-	-	-	-	-
5	Argentina	-	-	-	-	-	-	-	-	-	-	-	-
	NZ Share(%)	0	0		2.23	2.24		3.24	3.23		-	-	

2.2 Quarantine Statistics of Deer Velvet from Major Exporters

2.2.1 Year to date

2.2.1.1 Velvet

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	FEB12 –JAN13		FEB13 –JAN14	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	17,376.1	74,427	24,812.83	70,279.46
China	67,198.5	10.3	51,945.87	10.32
Russia	40,066.3	-	38,744.75	1.3
Hong Kong	8,137.4	-	13,151.76	-
Kazakhstan	1,063	-	1,785.45	-
Australia	88.5	0.2	56.9	6.46
USA.	27.2	-	22.79	0.08
Thailand	-	-	-	23
Others	17.8	-	16.14	1.47
Total	133,974.7	74,427	130,536.52	70,322.08
Overall Total	208,401.7		200,858.59	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.2 Full Year

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY	JAN12– DEC 12		JAN 13– DEC 13	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	20,612.5	66,275.1	24,152.19	74,724.73
China	65,789.8	10.3	54,942.06	10.32
Russia	35,922.7	-	43,139.99	1.3
Hong Kong	9,136.6	-	11,322.04	-
Kazakhstan	1,063.0	-	1,785.45	-
Australia	93.4	-	56.41	6.16
USA.	31.6	-	20.15	0.08
Thailand	-	-	-	23
Others	20.3	0.8	11.75	1.45
Total	132,669.9	66,286.2	135,435.54	74,767.04
Overall Total	198,956.1		210,202.57	

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

2.2.3 Quarantine Fail- Year to Date

The following statistics from the NVRQS give an indication of product that has been rejected on import. While 'banned origin' shows only a small volume it is likely that the 'No COQ' would also reflect product that did not have the appropriate documents from the country of export.

COQ = Certificate of Quarantine (Phytosanitary Certification)

COUNTRY	FEB12 – JAN13				FEB13 – JAN14			
	DRIED VELVET (KG)		RAW VELVET (KG)		DRIED VELVET (KG)		RAW VELVET (KG)	
China	No COQ Drying defect	1,470 0.5	No COQ Banned origin	0.2 10.3	No COQ Banned origin	790.0 2.2	Banned origin	10.32
USA.	Banned origin	27.16	-	-	No COQ Banned origin	1.27 20.32	Banned origin	0.075
Canada	Banned origin	5.99	-	-	Banned origin	4.39	-	-
Russia	-	-	-	-	-	-	Banned origin	1.3
Japan	-	-	-	-	Banned origin	0.35	Banned origin	1.45
Taiwan	Banned origin	3.3	-	-	-	-	-	-
New Zealand	-	-	-	-	No COQ	2.75	Violation of Hygiene Conditions	1,600
Thailand	-	-	-	-	-	-	Banned origin	23.0
Others	-	0.1	-	-	-	-	-	-
Total		1,503.85		10.3		833.36		1,636.15
Overall Total		1531.10				2,469.51		

Source: National Veterinary Research & Quarantine Service 한국수의과학검역원

3 Retail Prices of Deer Velvet to Individual Consumers

3.1 Retail Prices of Dried Deer Velvet to Individual Consumers (Online shopping)

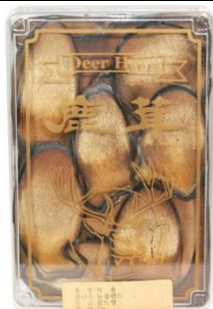
(As of 2014-03)

There has been no change in the pricing of dried deer velvet since the previous report in December.

Packaging: 2 nyang (75g) retail pack

	New Zealand	Russia	Korea
Bungol (tip)	KRW 107-108,000	KRW 142-150,000	KRW 180,000
Sangdae (upper part)	KRW 80-90,000	KRW 107-108,000	KRW 130,000

Jungdae (middle part)	KRW 62-63,000	KRW 85,000	KRW 110,000
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Source: A number of different Korean online shopping malls and Deer Velvet Specialists¹

3.2 Fresh Deer Velvet (Local, online shopping)

(As of 2014-03)

One store increased their prices for fresh deer velvet. This pushed the low end of the price range for fresh deer velvet bungol (tip) up by 10,000won to 170,000won, and hadae (lower part) by 5,000won to 75,000won. The highest end of the the price range remains unchanged since the previous report in December.

Packaging: 5 nyang (200g) retail pack

Bungol (tip)	KRW 170-200,000
Sangdae (upper part)	KRW 130-140,000
Jungdae (middle part)	KRW 95-110,000
Hadae (lower part)	KRW 75-100,000

Source: A number of different Korean online shopping malls and Deer Velvet Specialists²



¹http://herbseoul.com/front/php/product.php?product_no=1584&main_cate_no=&display_group=&cafe_mkt=naver_cc&NVKWD=%EB%85%B9%EC%9A%A9&NVADKWD=%EB%85%B9%EC%9A%A9&NVAR=PL&NVADID=31311460+0DO1003phK9drNC90042

²http://sasum9.com/index.php?pgurl=shop/sh_goods_view&salegdno=205>ype=1&ctpose=AAC

4 Local Deer Industry

4.1 Korea Deer Breeders Association's first board meeting of 2014

- The first board meeting of the year was held on the 24th January.
- Board members discussed the need to divide research and development tasks so that current realities in the industry can be seen more clearly.
- There was a particular focus on making sure that research is carried out before and after the setting of prices so that a more reasonable price can be provided.

Source: Deer Times, March 27th 2014

4.2 Deer velvet society established

- The Korea Deer Velvet Society, Korea's first ever academic research group for deer velvet is in the process of being established.
- Currently waiting for their incorporation application to be processed by the Ministry of Agriculture, Food and Rural Affairs.
- According to Professor Jeon Byeong-Tae, one of the key players in setting up the new group, the Korea Deer Velvet Society will support activities related to the development of scholarships and technology to be used to improve deer velvet science.
- Professor Jeong also states that the society shall contribute to areas that will lead to an increase in the income of deer farmers and improve citizen's health.
- The society has received positive feedback from the Ministry of Agriculture, Food and Rural Affairs and are currently waiting for their incorporation application to be processed.

Source: Deer Times, March 27th 2014

4.3 Deer Industry SOS: Crises in the deer Industry and possible directions for the future

The following column is an ongoing series continued over a number of editions of the Deer Times, and comes from contents published by the RDA office of the Korea Rural Development Administration. It was judged as being helpful information for Korean deer farmers and has therefore been summarised into a crisis section and a future directions section. The article also has a brief side-note about the potential impact of a Korea-New Zealand FTA (see below).

Crisis One: Emergence and advancement of new powers

- Hunting in Northern Europe, North America, and Russia, and breeding in New Zealand.

Crisis Two: The fall of price competitiveness and narrowing of opportunities for market penetration

- Breeding numbers for deer in Korea continuously rose until 2002, but since then have fallen.
- The Korean market for deer is mostly focused on deer velvet, but locally produced deer velvet only takes up a small chunk of the market.
 - Local production of deer velvet is low in quantity and high in price, meaning that self-sufficiency is at only 21%. The remaining deer velvet is imported.

Korea-New Zealand FTA (according to 2009 numbers released by the Korea Rural Economic Institute)

- If an FTA is concluded, then the current 20% tariff on NZ deer velvet will be removed and the price of NZ deer velvet will fall by 16.7%
- Local output of deer velvet will fall 12.5% meaning that the Korea deer industry will be hit by an expected 6 billion won – 12.5 billion won (NZ\$ 6.5 – 13.6 million) loss.
- A plan for policy support and the fostering of local business and industry is needed.

Direction One: Diversification of deer farm management

- Break away from the current model of deer velvet production.
- Make a foray into franchising and direct, centrally controlled management of all deer farms.
- Develop education programmes for future farmers.

Direction Two: Divert materials towards specialty health food products

- Given its numerous health benefits deer velvet has potential as a health product.
- Develop into pills, beverages, capsules, powder, jelly and similar items that can be easily obtained by consumers.

Direction Three: Deer as a health food and delicacy

- Deer velvet and deer meat was traditionally very popular, with its health benefits espoused by heroes and kings.
- This line of thought can be used to promote deer as a healthy food to be eaten at home or in restaurants.

Direction Four: Making leather from deer hide

- Make items like handbags and wallets and market them as high-end products
- Can also be used for instruments, car seats, etc.

Direction Five: For hands on experiences or activities

- Develop areas and parks for hunting or for tourism, where people can get up close with the deer.

Suggestions:

- Focusing on how to deal with both internal and external problems is important.
 - Take note of trends in the main deer producer countries like New Zealand.
- Need for research and development that can broaden the limits of the current market.
 - Current scarcity of research institutions.
 - Important to develop the ability to continuously supply high quality products.
- Policy consideration for small scale agriculture industries.

Source: Deer Times, March 27th 2014 (continuing column)

4.4 Price of deer velvet continues to rise on the back of Chinese consumption

- The price of deer velvet has increased by 20% over the last year, and is expected to keep rising. The main reason for the rise is an increase in Chinese consumers.
- Up against the huge capital of China it is hard for Korean deer velvet importers to secure imports from China. They have had to reach out to New Zealand and Russia.
- Korean importer officials are concerned that New Zealand and Russian deer velvet may have to be imported through Chinese importers.
- Akon news argue that special measures are needed to guarantee the stability of the market for pharmaceutical-use deer velvet. In particular, they contend that deer velvet imported for pharmaceutical use must be exempt from paying individual consumption tax.
- Akon news posit that individual consumption taxes are pushing up the price of deer velvet products and leading to an increase in smuggled and un-documented goods.
- In the last 5 years tax revenue was a miserly 2.1 billion won (NZ\$2.5 million), while during the same period the amount that came in through illegal channels was at a similar level.
- In 2012, the Korean Customs Administration stated that in the previous 5 years the volume of smuggled ginseng and deer velvet was 842 tonnes, or 72.9 billion won (NZ\$ 79.2 million). This compares to official imports of 2842 tonnes worth 148.5 billion won (NZ\$ 161 million). In other words, smuggled imports were equivalent to 30% of the volume, and 49% of the value of official imports.
- In 2011, the volume of smuggled deer velvet was close to 5 times the amount of 2010.
- Given that 1kg of deer velvet will have a unit price of roughly 46,000 won, one tonne of smuggled deer velvet will make a profit of around 400,000,000 won (NZ\$430,000).
- Akon news concludes that to secure a stable level of supply for pharmaceuticals, government authorities must make improvements to the current system and a review of individual consumption tax laws is needed.

Source: AKOM Newspaper, March 19th 2014³

4.5 Exposure of false statements regarding shelf life of deer velvet product

Daegwanryeong Food Inc. made false statements about the shelf life of their deer velvet product (the expiry date was 70 days earlier than stated), leading to the suspension of sales and withdrawal of the product from shelves.

The Ministry of Food and Drug Safety is taking measures to suspend sales and withdraw the product, and is now using 'Point of Sale (POS)' and 'Food Safety Watchman' apps to halt the circulation of unsuitable products.

Source: AKOM Newspaper, March 13th 2014⁴

³http://www.akomnews.com/subpage/search_detail.php?code=A001&uid=89946&page=/subpage/search.php&nowpage=1&search_word=%B3%EC%BF%EB&search_key=title&sadop_date=2004-03-02&eadop_date=2014-03-21

4.6 The Face Shop releases new product 'Commanding Beauty'

- Popular cosmetics store, 'The Face Shop'⁵ released a new all in one premium product for its 10 year anniversary.
- The 'commanding beauty' cosmetics pack contains two products: a 70ml bottle of "all in one combined anti-aging effectiveness" and a 32ml "vial of highly enriched uranium deer velvet collagen."
- Both products contain Korean deer velvet extract; the contents of the 32ml vial is 3% trademarked deer velvet collagen.
- The product has been a best seller since it first hit the shops on the 14th of January 2014, accounting for 20% of overall sales of women's cosmetics for the first month it was on the shelves.
- Emphasis is placed on the product's effectiveness against wrinkles, and skin-whitening qualities.
- The price of the package is 98,000won (NZ\$106).



Source: The Kukmin Daily, February 19th 2014⁶

⁴http://www.ekomnews.com/subpage/search_detail.php?code=A001&uid=89786&page=/subpage/search.php&nowpage=1&search_word=%B3%EC%BF%EB&search_key=title&sadop_date=2004-03-02&eadop_date=2014-03-21

⁵<http://international.thefaceshop.com/english/index.jsp> - The Face Shop is part of the LG group and in 2013 had sales of 523 trillion won (NZ\$567 million). The Face Shop now has stores in more than 20 countries around the world.

⁶<http://news.kukinews.com/article/view.asp?page=1&gCode=c&arcid=0008053711&cp=nv>

4.7 Nonghyup Food Safety Research Institute promises to develop more health food products utilising deer velvet

On the 10th of February the Nonghyup Food Safety Research Institute made assurances regarding the development of health food products utilising deer velvet. In order to boost consumer confidence levels Nonghyup Food Safety Research Institute, in cooperation with SongahkNonghyup in the city of Asan, shall advise the government to introduce traceability measures and carry out research on the various health possibilities and methods for developing deer velvet extract products.

Source: Nongmin Newspaper, February 12th 2014⁷

4.8 Korea Deer Council purchases 20,943 units of deer velvet

The Korea Deer Council purchased 160,000,000 won (NZ\$ 170,000) worth of deer velvet and passed it on to members. For the first time the purchases were made through branch offices, including Asan and Ulsan, between the 22nd of November and the 2nd of December 2013. This meant that the buyers in the branch offices were burdened with more than 10,000,000 won (NZ\$ 10,800) in extra costs.

Source: Deer Times, January 27th 2014

4.9 Deer industry must work together to improve deer farming systems

- President Park's crackdown on unsafe food products has led to amplified discussions among local deer farmers.
- The Deer Times contends that every year countless deer farmers are driven into a corner by people exploiting holes in current laws and systems. This, along with the growing use of non-certified health food products, has given the deer industry a bad name.

Source: Deer Times, January 27th 2014

4.10 Concerns regarding health food products using deer velvet

Recently more and more products made with Korean deer velvet are being sold through TV home shopping. However, the Ministry of Food and Drug Safety is warning that consumers should not trust that deer velvet products sold via TV home shopping will have the same effectiveness as pharmaceuticals, which have to go through the ministry's strict reviews and investigations, insuring safety and effectiveness.

Regarding this, Akom news contends that:

- pharmaceutical use deer velvet is designed and administered by experts, but because health food products don't follow this process they should used with more caution.

⁷http://www.nongmin.com/article/ar_detail.htm?ar_id=228535

- the number of people being exposed to unwanted side-effects from deer velvet products is increasing and this is further reason for people to make sure they consult with experts before using.
- only in Korea can deer velvet be used to make whatever products one desires. In other countries like Taiwan, Japan and China, one can only use deer velvet in pharmaceuticals, while all other uses are banned.
- most Korean consumers are not aware of the guidelines around deer velvet use and are putting too much trust in health and beauty products sold on TV.

In conclusion, Akom news recommends that, like consumers in other countries, Korean consumers must be made aware of how to use deer velvet products safely and effectively.

Source: Akom Newspaper, December 30th 2013⁸

4.11 Taking on the challenge of producing clone deer

According to Lee Bong-shik, director of the Hyundai Animal Hospital, the era of cutting edge breeding technology has arrived. Lee states that embryo transfer and artificial insemination techniques have industrialized to the point where they have real potential for use in the deer industry. Currently research institutes and animal hospitals are in the stages of testing these genetic modification techniques and are starting to introduce them to players in the deer farming industry.

Source: Deer and Deer Velvet Magazine (Korea Deer Breeders Association) December 30th 2013.

⁸http://www.ekomnews.com/subpage/search_detail.php?code=A001&uid=88391&page=/subpage/search.php&nowpage=1&search_word=%B3%EC%BF%EB&search_key=title&sadop_date=2004-03-02&eadop_date=2014-03-21